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# Autonomy, market orientation and performance in Indian retail banking

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## Abstract

**Purpose** – This paper aims to find out whether superior autonomy at boundary spanning levels in service organizations results in better market orientation and performance and whether autonomy and decentralization, though conceptually different, have similar practical implications. Researchers developed a theoretical model and tested it in the post-liberalized Indian retail banking context to address these concerns.

**Design/methodology/approach** – Bank branches constituted the unit of analysis. Further to getting initial insights on market orientation in retail banking through interviews researchers conducted a survey among branch managers. A total of 305 branch managers were contacted of which 122 cooperated.

**Findings** – Regression results suggest that superior personnel related and goal setting autonomy at boundary spanning levels have positive market orientation as well as performance implications. Marketing autonomy did not have significant impact on market orientation. Autonomy and decentralization though conceptually different displayed similar implications on market orientation and performance. Formalization while negatively impacting market orientation did not directly impact performance.

**Practical implications** – As firm performance is dependent on subunit performance, managers should naturally be interested in factors that enhance performance at subunit level. Current research finds evidence for superior personnel and goal setting autonomy as well as less rigid rules facilitating market orientation and performance at the subunit level.

**Originality/value** – This is the first effort to study market orientation at the boundary spanning levels in service organizations. Besides providing evidences from the Indian retail banking context about the impact of autonomy on market orientation and performance the paper also presents primary evidence for clarifying the similarities and differences between autonomy and decentralization.

**Keywords** Market orientation, Business performance, Banking, India, Service industries

**Paper type** Research paper

## 1. Introduction

Effectiveness of subunits influences the effectiveness of firms constituted of them (Gelade and Young, 2005). Boundary spanning subunits, having primary responsibility to interact with agencies external to the organization (Callahan and Salipante, 1979), could therefore influence firm effectiveness. Superior decision-making autonomy to the boundary spanning employees helps to improve the competitiveness of firms (Nielson and Pedersen, 2003) which in turn could have performance implications. Similarly, decentralization facilitates a market orientation at firm level (Jaworski and Kohli, 1993). Decentralized organizations are also found to be good in generating innovative ideas from a variety of groups within the organization and to be more effective in non-routine and complex environments (Olson *et al.*, 1995). This paper proposes a theoretical model that postulates the impact of autonomy and decentralization on market orientation and performance at boundary spanning levels and tests it in the post liberalized Indian retail banking context.



## 2. Theoretical context

Association between market orientation and organizational performance in services firms has been observed to be weaker than that in manufacturing firms (Kirca *et al.*, 2005). This weaker impact has been attributed to higher levels of customization and on-the-spot adaptations services require due to greater necessity for direct firm-customer interactions (Varadarajan, 1985; Kirca *et al.*, 2005). Market orientation was thus considered more of a failure-prevention factor (a “hygiene” factor) for services firms. Direct firm-customer interactions and on-the-spot adaptations in service organizations usually happen at the boundary spanning unit level (Frei, 2006). However, this level has not received any attention in the already rich market orientation-performance research literature including that from services context. An effort to address this gap could lead to conclusions of practical as well as theoretical relevance. Therefore, in this paper researchers propose to test performance implications of market orientation at the boundary-spanning unit level.

Effectiveness of organizations with multiple business units is critically dependent on effectiveness of their performance at the subunit level, and it is, therefore important to identify the characteristics of effective and ineffective subunits. Many studies have identified that a superior market orientation leads to effective firm performance (Narver and Slater, 1990; Deng and Dart, 1999; Deshpande *et al.*, 1993). Market orientated behavior expects organizations to design and implement responses to market information (Jaworski and Kohli, 1993). In services, relevant customer information is often received and responses are expected to be designed and implemented on-the-spot by boundary spanning employees interacting with customers in service delivery process. Decision-making autonomy for such boundary spanners could be considered necessary for them to behave in a market oriented manner. Researchers have already found organizational autonomy to be related to many variables crucial to organizational effectiveness (Dill, 1958; Osborn *et al.*, 1980; Porter, *et al.* 1975; Robins *et al.*, 2002). Gebhardt *et al.* (2006) suggest distribution of intra-organizational power, which has similar connotations as decision-making autonomy, as an essential, but overlooked, dimension in the creation of a market orientation. Therefore, in this paper researchers also propose to test whether decision-making autonomy precede a market orientation in boundary spanning service units.

Along with autonomy researchers consider decentralization, a variable that coincides and proposed to have similar impact on market orientation, and formalization, another variable that was found to be insignificant in previous researches on market orientation and performance. Brock (2003) postulated that autonomy and decentralization though conceptually different would coincide and would have similar implications if studied at operational levels in organizations. If this postulation holds true autonomy should have similar performance as well as market orientation implications as decentralization has. Centralization has already been established as an antecedent to market orientation and thereby to performance (Kohli and Jaworski, 1993). So, while testing organizational autonomy’s impact on market orientation and performance at operational levels, researchers considered it apt to look for an empirical validation for the postulation. The resultant theoretical model tested and discussed in the current study is given in Figure 1.

## 3. Practical context

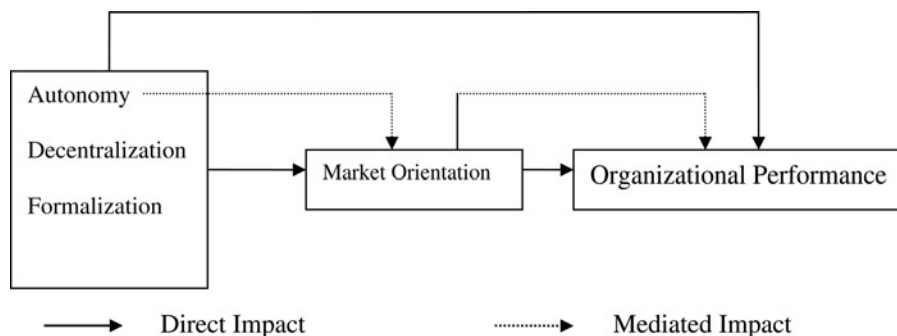
Economic reforms initiated in 1991 changed Indian economy significantly in a span of 15 years. A liberal economy open to global competition as well as encouraging

privatization has so far witnessed changes in foci, strategies and structures in many industries. Growing customer expectations and competition resulted in a shift in many industries from a predominantly regulated and licensed seller's market to a buyer's market. Growth in demand coupled with increasing competition forced firms in many industries to device unconventional strategies to tap growing market potential. One such strategy that has been adopted by firms in varying degrees is the implementation of a superior market orientation. Market orientation draws its relevance from marketing concept which stipulates that to achieve sustained success; firms should identify and satisfy customer needs more effectively than their competitors (Day 1994; Kotler 2002). The post reform change dynamics in Indian economy and the resulting realization of a need for market orientation can be observed in the example of retail banking sector.

Banking and financial services have traditionally believed less in a marketing philosophy (Howcraft and Durkin, 2003). This has been particularly true of post independent Indian retail banking until recent times. In an underserved and highly regulated market, providers – primarily public sector banks – considered banking service more of a chore and neither proactively identified nor creatively addressed customer needs. Banks in India traditionally selected graduates based on their general knowledge, quantitative aptitude, and English language ability rather than based on business or marketing aptitude. The staff training colleges of banks focused more on technical training in operations and procedures and neglected training in marketing. But today, banking – at least in urban India – has already moved to a buyers' market under pressure from competition. The industry today has more multi-national corporations and private players than pre-reform. Therefore, there is an increasing realization among bankers about the need for a superior market orientation and an interest in factors that would facilitate a superior market orientation. For example, changes in strategic orientation to a more market oriented one had to be followed by necessary structural adjustments. Indian banks have made structural changes in the process of implementing a market orientation strategy. But, what structures are supportive of a market orientation and performance? Do greater operational autonomy and decentralization enable superior performance? Do they help banks to be more market oriented? Answers to these questions will be relevant to decision makers.

#### 4. Literature review and formulation of hypotheses

Organizational structure follows strategy (Chandler, 1962). Since different organizational characteristics are more or less appropriate for different business



**Figure 1.**  
Proposed conceptual  
model

strategies changes in strategies demand structural adjustments. Walker and Ruekert (1987) hypothesized that firms that follow different business strategies adopt different structural designs. Vorhies and Morgan (2003) observed that structural variables like formalization, centralization, and specialization seem particularly important in shaping organization's or department's performance. Structural variables were also found to be of importance in market orientation literature. Kohli and Jaworski (1993) identified centralization, formalization, and departmentalization among other antecedents of market orientation. Existing literature provides direction to further examine the role of structural variables on implementation of a market orientation and organizational performance (Gebhardt *et al.*, 2006; Kirca *et al.* 2005). However, one such structural variable that can be critical to market orientation and performance of a service organization but has not got any attention in the past is organizational autonomy.

#### 4.1 Autonomy

Autonomy can be defined as the degree to which one may make significant decisions without the consent of others and can be treated as individual autonomy or organizational autonomy (Brock, 2003). For the present study, researchers consider organizational autonomy. Autonomy is related to many variables crucial to organizational effectiveness (Dill, 1958; Osborn *et al.*, 1980; Porter *et al.*, 1975; Robins *et al.*, 2002). Autonomy was found promoting positive motivation, satisfaction, and performance along with absenteeism and turnover outcomes (Hackman and Oldham, 1976).

Giving front-line employees more decision-making authority was found to help the competitiveness of firms (Nielson and Pedersen, 2003). Decision-making autonomy could build a belief in lower level managers and employees that they could, on their own, do something about things happening around them. If so, autonomy of lower level operational units like branches of a bank can be of particular importance in services. Superior decision-making autonomy would enable managers and employees at lower levels in services firms to engage better with the markets around them as they enjoy freedom to define and respond to issues on their own. Such freedom would prompt them to actively look for information relevant to decision making and share the same with others involved in the decision-making process and design and implement responses based on information thus generated and disseminated. Such market oriented behaviors could in turn positively influence their performance.

Hence,

- H1.* The higher the autonomy of a boundary spanning unit, the better its (a) market orientation, (b) and its performance.

Since autonomy refers to decision-making freedom that any given position enjoys one could consider the various types of decisions a manager at any position takes and could postulate the impact of those decisions on market orientation. Decision-making autonomy of a front line manager was classified and labeled during the current research into personnel, marketing, and goal setting autonomy. Identifying the impact of these subsets of autonomy on market orientation and performance would help suggesting more focused strategies for implementing a market orientation. Therefore, the components of organizational autonomy namely personnel, marketing, and goal setting autonomy are postulated to have a positive impact on market orientation and performance.

- H2. The higher the personnel autonomy, marketing autonomy, and goal setting autonomy of a boundary spanning unit, the better (a) its market orientation, (b) and its performance.

#### 4.2 Decentralization

Decentralization refers to whether decision authority is closely held by the top managers or the same is delegated to lower level managers. Centralized structures are primarily found to be useful in stable and non-complex environments. In contrast, decentralized organizations are found to be good in generating innovative ideas from a variety of groups within the organization and more effective in non-routine and complex environments (Olson *et al.*, 1995). Business environment for many industries in emerging economies like India is gradually shifting from a stable non-complex one to more complex environment due to liberalization, privatization, and globalization. Centralization is identified to be an antecedent of market orientation having significant negative impact (Jaworski and Kohli, 1993). Decentralization and centralization being the two extremes of the same coin it is argued that:

- H3. The higher the decentralization in an organization, the better its market orientation.

#### 4.3 Autonomy vs decentralization

While autonomy refers to the *extent of* decision-making authority wielded by a given position or organization, (de)centralization concerns the *locus of* decision-making authority in an organization i.e. whether the authority is concentrated on top or diffused through out the organization (Pugh *et al.*, 1968). Decentralization can be measured by ascertaining the level at which the decisions are made and autonomy by the extent of decisions that can be made at a given position. Decentralization occurs when the lower level units of operation in an organization enjoy greater decision-making authority. In that case, a question could arise whether lower level autonomy is any different from decentralization. One might answer that at lower level of operation autonomy and decentralization would practically mean the same and would have similar outcomes. Therefore, Brock (2003) postulated that decentralization and autonomy do not differ at lower level of operation and would have similar outcomes. In the present study, where autonomy is measured at the branch level, this postulation is tested. Hence:

- H4. There are significant similarities between the implications of decentralization and autonomy on market orientation and organizational performance.

#### 4.4 Formalization

Formalization refers to the existence of norms and the extent to which norms have to be strictly adhered to. It refers to the degree to which rules define roles, authority relations, communications, norms and sanctions and procedures (Hall, 1991). Financial institutions such as banks primarily deal in money sourced from the public and are regulated by the Central Bank in any country. Scope for existence and implementation of regulatory rules and norms (i.e. formalization) might be considered high in such a sector. Formalization is reported to have inverse relationship to information utilization (Deshpande and Zaltman, 1982). Market orientation, by its behavioral definition, is all about generating and utilizing market information to device and to implement relevant responses. Jaworski and Kohli (1993) did not find any significant relationship between formalization and market orientation and gave an explanation as to the emphasis on

rules is less relevant than the precise nature of the rules in an organization. The impact of formalization on market orientation and performance has not been tested in the Indian context and particularly in the context of financial services institutions where the scope for the existence of formalized rules and norms might be considered higher. Therefore:

*H5.* Higher the formalization, lower the market orientation of an organization.

#### 4.5 Market orientation

Kohli and Jaworski (1990) formally defined market orientation as a one dimensional construct consisting of three organization wide activities; market intelligence generation, dissemination of this intelligence across departments and response based on market intelligence. According to the authors market orientation entails:

- one or more departments engaging in activities geared toward developing an understanding of customers' current and future needs and the factors affecting them;
- sharing of this understanding across departments; and
- the various departments engaging in activities designed to meet select customer needs.

Due to the intuitive logic of approach and also due to the easiness of measurement later scholars adopted this definition for market orientation research (Bhuian, 1997; Cadogan *et al.*, 2003; Diamantopoulos and Hart, 1993; Homburg and Pflesser, 2000; Kwon and Hu, 2000; Pitt *et al.*, 1996; Pulendran *et al.*, 2000; Raju and Lonial, 1995; Vorhies and Harker 2000). However, meta-analysis of previous market orientation-performance studies revealed the association of market orientation and performance weaker in the services context compared to manufacturing context (Kirca *et al.*, 2005). However, the earlier studies did not take into account boundary spanning units of operation in measuring market orientation of services firms. Specific characteristics of services demand on-the-spot adaptations to customer requirements by units that interact with customers at the point of service delivery. In the present study, researchers consider performance implications of market orientation at boundary spanning unit level in services context, i.e. branches of retail banks. Therefore:

*H6.* The higher the market orientation of a boundary spanning unit, the better its performance.

### 5. Data collection and methodology

To test the proposed framework researchers adopted a quantitative research design. However, to get a closer understanding of the context researchers initially conducted semi-structured depth interviews with eight executives at branch levels at three different banks. These interviews assessed features salient to market oriented branches, kind of market oriented activities such banks were engaged in as well as factors that facilitated a superior market orientation at branch level. In the process researchers also associated with two specific market oriented activities at two banks; one to understand the reasons for customer defection at a mortgage bank and the other to study the scope for introducing a savings account product for students staying away from home. Further, a survey was conducted among branch managers at eight national banks. A set of five questionnaires each measuring market orientation, decentralization, organizational

autonomy, formalization and organizational performance (see Appendix) were administered personally by researchers to the branch managers of these banks. Though researchers aimed at getting response from around 300 branch managers the efforts resulted in getting 122 completely filled in questionnaires, a response rate of 41 percent.

### 5.1 *Measurement issues*

Market Orientation was measured using an adapted version of MARKOR scale of Kohli and Jaworski (1993). Decentralization and formalization were measured with the scales developed by Menon *et al.* (1999). The common measures for performance are cost and revenue based. Researchers adopted subjective revenue based single item measurements of sales growth, market share and overall performance. These measures as well have been widely accepted in market orientation performance research. All the above scales had established psychometric properties and have been used widely for measuring the corresponding variables. To measure autonomy at branch level an appropriate measure was not available. Therefore, researchers developed an autonomy scale following the standard scale development procedures and tested the same for psychometric properties. Details of the procedures followed in developing the autonomy scale are given below.

**5.1.1 Construct definition.** Psychometric literature recommends construct definition as the first step in scale development. Therefore, drawing from existing literature researchers specified what organizational autonomy is (Brock, 2003; Inkson *et al.*, 1970; Sims *et al.*, 1976) and at the same time differentiated it from other related constructs. Autonomy is defined as the degree to which one may make significant decisions without the consent of others (Brock, 2003). Autonomy in the current context is treated as autonomy of an organizational subunit and not that of the whole organization to which the subunit is a part. Thus the unit of analysis is the subunit and the freedom the head of the subunit has in decision making is considered the autonomy of the subunit.

**5.1.2 Content or face validity.** Face validity demands that on the surface the scale items should appear consistent with the theoretical domain of the construct i.e. items generated should tap the domain of the construct. Judges with expertise in the literature shall screen items and pilot tests on samples from relevant population shall be conducted to trim the items and to refine the pool of items.

Items were generated from executives working in various service organizations. These were executives working at lower or middle managerial levels who were participants of an executive development program. They were asked to list down all decisions that could be taken by a manager with independent responsibility of a business unit in a services firm. A total of 95 items were generated. Nine items that were to be obviously out due to duplication or being out of domain of the construct were deleted. The remaining 86 items were presented to a panel of four experts with experience in banking and financial services industry ranging from 15-28 years. They were asked to select only those items from the list they found to be relevant to a branch manager in a bank. Experts also were briefed as to the need for presenting items in short and simple manner to ensure easiness in response as well as reliability. Researchers retained all items that were selected at least by one of the experts which resulted in 22 items. These items were further pruned by an expert who worked in banking and as well had academic research interest. Four items were dropped by the expert resulting in 18 pruned items.

Freedom to make decisions could range from “no freedom at all” to “very high freedom.” A rating scale is appropriate for capturing such a continuous variable. A seven-point rating scale was used to measure autonomy on all the 18 items. A score of 7

would mean that the respondent has very high autonomy and a low score of 1 would mean that the respondent has practically no autonomy.

**5.1.3 Scale dimensionality.** A construct's domain may be one-dimensional or multi-dimensional. The scale or subscales used to operationalize the construct is expected to reflect the hypothesized dimensionality. Since managerial decisions in a business organization could be classified based on managerial functions such as planning, organizing, staffing, directing and controlling or along business functions such as finance, human resources, marketing, production, etc. the scale items were expected to belong to these functional domains. The scale's empirical factor structure was therefore expected to be reflecting these dimensions. To check for the dimensionality of the scale a factor analysis was conducted using SPSS software.

Rotated component matrix showed that the items loaded on three major components. Two of the three components reflected similarities along business managerial functions namely personnel and marketing functions. Therefore, the two components were labeled along these business functions as personnel autonomy and marketing autonomy. Seven items loaded on personnel autonomy and six items loaded on marketing autonomy. The last component did not reflect a functional connotation but comprised of items mostly related to goals to be set and achieved by the unit and therefore was labeled as goal setting autonomy. Tables I and II include results of factor analysis.

**5.1.4 Reliability analysis for the scale.** There are two broad types of reliability in psychometric literature:

- (1) *Test-retest*: the correlation between the same person's score on the same set of items at two points in time. It is not done in majority of scale development exercises.
- (2) *Internal consistency*: Items comprising a scale or subscale should show high levels of internal consistency. Commonly used criteria for assessing internal consistency are individual corrected item to total correlations, the inter item correlated matrix for all items or for items proposed to measure a given scale dimension, and a number of reliability coefficients.

The most widely used internal consistency reliability coefficient is the Chronbach's alpha. Reliability analysis (alpha) was conducted for the scale as a whole (Table III) and then for each of the components constituting the scale (Tables IV-VI). The rule of thumb for reliability analysis, according to Nunnally (1978) is that reliability level of 0.70 will suffice in exploratory settings though in those applied settings where important decisions are made a minimum reliability coefficient of 0.90 is a must. The overall alpha value was determined to be 0.951. It may also be noted that no corrected

| Component | Total variance explained |                                                    |                |
|-----------|--------------------------|----------------------------------------------------|----------------|
|           | Total                    | Rotation sums of squared loadings<br>% of variance | Cumulative (%) |
| 1         | 4.392                    | 24.400                                             | 24.400         |
| 2         | 4.223                    | 23.462                                             | 47.862         |
| 3         | 3.953                    | 21.960                                             | 69.822         |

**Note:** Extraction method: principal component analysis

**Table I.**  
Factor analysis for  
examining scale  
dimensions

| Items                                                  | Component |       |       |
|--------------------------------------------------------|-----------|-------|-------|
|                                                        | 1         | 2     | 3     |
| (8) To decide sales/marketing agents                   | 0.777     | –     | –     |
| (13) To create a new job                               | 0.754     | –     | –     |
| (11) To decide on marketing promotion                  | 0.735     | –     | –     |
| (7) To price the service                               | 0.698     | –     | –     |
| (2) To decide on resource acquisition procedures       | 0.638     | –     | –     |
| (5) To determine a new product or service introduction | 0.604     | –     | –     |
| (15) To decide on remuneration of staff                | –         | 0.816 | –     |
| (18) To decide on recruitment of personnel             | –         | 0.776 | –     |
| (14) To dismiss a staff                                | –         | 0.773 | –     |
| (12) To promote staff                                  | –         | 0.690 | –     |
| (10) To decide on cost of customer acquisition         | –         | 0.617 | –     |
| (9) To decide marketing budgets                        | –         | 0.559 | –     |
| (16) Decide on the training needs and methods          | –         | 0.523 | –     |
| (3) Service quality standards shall be maintained      | –         | –     | 0.836 |
| (17) Allocate work among available personnel           | –         | –     | 0.733 |
| (4) Decide on the monthly target of the unit           | –         | –     | 0.729 |
| (6) Determine territories to be covered                | –         | –     | 0.532 |
| (1) To sanction loans                                  | –         | –     | 0.502 |

**Table II.**

Rotated component matrix (a)

**Notes:** Extraction method: principal component analysis; rotation method: varimax with Kaiser normalization; rotation converged in nine iterations (loadings below 0.5 suppressed for clarity)

|     | Scale mean<br>if item<br>deleted | Item-total statistics                |                                        |                                    | Cronbach's alpha<br>if item<br>deleted |
|-----|----------------------------------|--------------------------------------|----------------------------------------|------------------------------------|----------------------------------------|
|     |                                  | Scale variance<br>if item<br>deleted | Corrected<br>item-total<br>correlation | Squared<br>multiple<br>correlation |                                        |
| v1  | 57.7833                          | 489.516                              | 0.571                                  | 0.483                              | 0.951                                  |
| v2  | 57.5583                          | 469.274                              | 0.756                                  | 0.766                              | 0.948                                  |
| v3  | 56.2667                          | 474.869                              | 0.619                                  | 0.752                              | 0.950                                  |
| v4  | 56.6167                          | 469.768                              | 0.703                                  | 0.761                              | 0.949                                  |
| vS  | 57.4583                          | 469.696                              | 0.756                                  | 0.717                              | 0.948                                  |
| v6  | 56.6250                          | 471.194                              | 0.684                                  | 0.591                              | 0.949                                  |
| v7  | 56.7333                          | 470.752                              | 0.746                                  | 0.719                              | 0.948                                  |
| v8  | 56.5833                          | 465.052                              | 0.723                                  | 0.701                              | 0.949                                  |
| v9  | 57.4417                          | 469.778                              | 0.756                                  | 0.697                              | 0.948                                  |
| v10 | 57.9083                          | 482.319                              | 0.686                                  | 0.602                              | 0.949                                  |
| v11 | 56.4833                          | 464.504                              | 0.740                                  | 0.838                              | 0.948                                  |
| v12 | 56.8000                          | 459.304                              | 0.816                                  | 0.843                              | 0.947                                  |
| v13 | 57.1250                          | 463.589                              | 0.790                                  | 0.792                              | 0.947                                  |
| v14 | 57.7750                          | 484.714                              | 0.692                                  | 0.762                              | 0.949                                  |
| v15 | 57.3833                          | 477.079                              | 0.652                                  | 0.723                              | 0.950                                  |
| v16 | 55.7000                          | 470.918                              | 0.794                                  | 0.753                              | 0.947                                  |
| v17 | 54.8750                          | 500.060                              | 0.500                                  | 0.494                              | 0.952                                  |
| v18 | 56.5667                          | 470.836                              | 0.692                                  | 0.735                              | 0.949                                  |

**Table III.**

Reliability alpha for all items of autonomy scale

**Notes:** Valid cases: 120; alpha: 0.951; items: 18

**Table IV.**  
Reliability alpha for  
personnel autonomy  
dimension

|     | Scale mean<br>if item<br>deleted | Scale variance<br>if item<br>deleted | Item-total statistics<br>Corrected<br>item-total<br>correlation | Squared<br>multiple<br>correlation | Cronbach's alpha<br>if item<br>deleted |
|-----|----------------------------------|--------------------------------------|-----------------------------------------------------------------|------------------------------------|----------------------------------------|
| v9  | 19.2314                          | 68.313                               | 0.734                                                           | 0.585                              | 0.904                                  |
| v10 | 19.7107                          | 72.207                               | 0.701                                                           | 0.521                              | 0.908                                  |
| v12 | 18.5785                          | 63.729                               | 0.819                                                           | 0.708                              | 0.895                                  |
| v14 | 19.5620                          | 72.515                               | 0.743                                                           | 0.688                              | 0.905                                  |
| v15 | 19.1653                          | 68.322                               | 0.730                                                           | 0.684                              | 0.905                                  |
| v16 | 17.4711                          | 69.935                               | 0.718                                                           | 0.546                              | 0.906                                  |
| v18 | 18.3306                          | 65.473                               | 0.774                                                           | 0.661                              | 0.900                                  |

**Notes:** Valid cases: 121; alpha: 0.917; items: 7**Table V.**  
Reliability alpha for  
marketing autonomy  
dimension

|     | Scale mean<br>if item<br>deleted | Scale variance<br>if item<br>deleted | Item-total statistics<br>Corrected<br>item-total<br>correlation | Squared<br>multiple<br>correlation | Cronbach's alpha<br>if item<br>deleted |
|-----|----------------------------------|--------------------------------------|-----------------------------------------------------------------|------------------------------------|----------------------------------------|
| v2  | 16.7000                          | 60.632                               | 0.744                                                           | 0.609                              | 0.905                                  |
| v5  | 16.6000                          | 61.570                               | 0.710                                                           | 0.581                              | 0.909                                  |
| v7  | 15.8750                          | 60.144                               | 0.778                                                           | 0.635                              | 0.900                                  |
| v8  | 15.7250                          | 57.327                               | 0.775                                                           | 0.645                              | 0.901                                  |
| v11 | 15.6250                          | 58.068                               | 0.756                                                           | 0.679                              | 0.903                                  |
| v13 | 16.2667                          | 57.424                               | 0.830                                                           | 0.727                              | 0.893                                  |

**Notes:** Valid cases: 120; alpha: 0.917; items: 6**Table VI.**  
Reliability alpha for  
goal setting autonomy  
dimension

|     | Scale mean<br>if item<br>deleted | Scale variance<br>if item<br>deleted | Item-total statistics<br>Corrected<br>item-total<br>correlation | Squared<br>multiple<br>correlation | Cronbach's alpha<br>if item<br>deleted |
|-----|----------------------------------|--------------------------------------|-----------------------------------------------------------------|------------------------------------|----------------------------------------|
| v3  | 14.9421                          | 24.972                               | 0.716                                                           | 0.602                              | 0.769                                  |
| v17 | 13.5124                          | 32.719                               | 0.554                                                           | 0.323                              | 0.819                                  |
| v6  | 15.2975                          | 26.977                               | 0.610                                                           | 0.436                              | 0.803                                  |
| v1  | 16.4463                          | 31.283                               | 0.520                                                           | 0.275                              | 0.824                                  |
| v4  | 15.2727                          | 24.667                               | 0.773                                                           | 0.656                              | 0.750                                  |

**Notes:** Valid cases: 121; alpha: 0.830; items: 5

item-total correlation fell below 0.3, which is a positive signal of the internal consistency of the scale. "Alpha if item deleted" column gives figures, none of which is above the aggregated alpha value for all the items taken together. This means that the overall internal stability will be negatively affected if any variable is removed from the membership in the scale. Alpha values arrived at from the dimension-wise analysis also satisfied the above said conditions.

Thus the scale satisfies the fundamental requirements for acceptance as a valid and reliable measure for the construct “organizational autonomy.”

6. Discussion of results

6.1 Impact of structural variables on market orientation

Results of data analysis given in Table VII show that the three structural variables significantly impact overall market orientation. The impact of autonomy on market orientation was positive ( $\beta$  0.510,  $p < .001$ ) supporting hypothesis *H1(a)*. Further, among the three dimensions of autonomy personnel autonomy ( $\beta$  0.276,  $p < .05$ ) had significant positive impact on overall market orientation. The result partially supports hypothesis *H2(a)*. The positive impact of autonomy in personnel decision making on market orientation may be interpreted as follows. Personnel autonomy allows the branch manager to reward a market oriented behavior and discourage a non-market oriented behavior and therefore, such behaviors flourish in a branch with higher personnel freedom. Or it could be that a branch manager enjoying superior personnel freedom could identify, recruit, train and promote people who display attitudes and skills that are enabling a superior market orientation.

However, differing from the proposition in hypothesis *H2(a)* impact of marketing and goal setting autonomy on overall market orientation was not found to be significant. The lack of significance of these impacts may be attributed to the nature of banking industry. Regulations by Central Bank and the very nature of products that are not much amenable to be highly differentiated might be making marketing and goal setting autonomy not significant in impacting a superior market orientation. As postulated in hypothesis *H3* decentralization’s impact on market orientation was found to be positive and significant ( $\beta$  0.271,  $p < .05$ ) suggesting that a more decentralized organization is also more market oriented.

Impact of formalization on overall market orientation was found to be significantly negative ( $\beta$  -0.210,  $p < .01$ ) giving support to hypothesis *H5*. One might argue that the rules that were strictly followed in banks were not particularly those fostering a market orientation. Thus in an industry following formalized rules that are by nature discouraging a market orientation, increased formalization would negatively impact a market orientation. This could also be interpreted as despite them being market oriented or not strict imposition of rules does not facilitate, but discourage, a market orientation. And on the contrary one might suggest that in an increasingly competitive industry freedom to break rules would contribute to better market orientation than strict allegiance to them. A possible interpretation of the negative impact of formalization on market orientation may be drawn from Zaltzman *et al.* (1973). Based

Table VII.  
Impact of structural  
variables on market  
orientation and its  
dimensions

|                       | MO ( $R^2$ 0.634)     | IG ( $R^2$ 0.534)     | ID ( $R^2$ 0.524) | Response ( $R^2$ 0.530) |
|-----------------------|-----------------------|-----------------------|-------------------|-------------------------|
| Personnel autonomy    | 0.276*                | 0.266 ( $p = 0.059$ ) | ns                | 0.309*                  |
| Goal setting autonomy | 0.174 ( $p = 0.085$ ) | ns                    | 0.248*            | ns                      |
| Marketing autonomy    | ns                    | ns                    | ns                | ns                      |
| Decentralization      | 0.271*                | ns                    | 0.248*            | 0.455***                |
| Formalization         | -0.210**              | -0.289***             | ns                | -0.239**                |
| Total autonomy        | 0.510***              | 0.566***              | 0.514***          | 0.245*                  |

Notes: \*\*\*  $p < 0.001$ , \*\*  $p < 0.01$ , \*  $p < 0.05$ ; MO – overall market orientation; IG – intelligence generation; ID – intelligence dissemination; R – responsiveness

on previous studies they argued that high level of formalization could hinder innovative behavior. A market oriented behavior which is primarily a result of innovative approach to understand market, disseminate that information and design and implement creative responses to that market information is more of an innovative activity and that the more an environment gets formal the less its market orientation becomes.

Researchers further regressed the structural variables on the three dimensions of market orientation namely intelligence generation, intelligence dissemination, and response. Of the structural variables formalization and personnel autonomy had significant impact on intelligence generation. Formalization's impact was negative ( $\beta -0.298$ ,  $p < 0.001$ ) while that of personnel autonomy was positive ( $\beta 0.266$ ,  $p < 0.06$ ). Impact of formalization may be interpreted in one direction as indicating that formal rules that existed in the organizations were particularly discouraging a superior intelligence generation. Such rules if strictly followed would result in inferior intelligence generation. However, researchers did not particularly look into the exact nature of these rules. But higher emphasis on rules results in lesser intelligence generation and therefore lesser market orientation in firms.

Decentralization ( $\beta 0.248$ ,  $p < 0.05$ ) and goal setting autonomy ( $\beta 0.248$ ,  $p < 0.05$ ) were found to be facilitating intelligence dissemination. The influence of goal setting autonomy may be interpreted, assuming goal setting as a collective effort among managers and subordinates, as occasions of collective goal setting would allow free dissemination of relevant market information among parties involved in goal setting. While formalized rules were found to hinder information generation it did not happen so with information dissemination. Decentralization, personnel autonomy and formalization were found to be significant ( $\beta 0.455$ ,  $p < 0.01$ ;  $\beta 0.309$ ,  $p < 0.05$ ;  $\beta -0.239$ ,  $p < 0.01$ , respectively) in their influence on market oriented responsiveness. Impact of decentralization and personnel autonomy on responsiveness was positive. Similar to its influence on intelligence generation formalization had a negative but significant impact on responsiveness.

## 6.2 Impact of all independent variables on organizational performance

Data given in Table VIII reveal that organizational autonomy had significant positive impact on all three measures of performance namely sales growth, market share, and overall performance ( $\beta 0.341$ ,  $p < 0.01$ ;  $\beta 0.220$ ,  $p < 0.052$ ;  $\beta 0.374$ ,  $p < 0.01$ , respectively). The results support hypothesis *H1(b)*. It may therefore be interpreted that an organizational unit enjoying superior overall autonomy would be better in its performance. Similarly, decentralization also had significant positive impact on the measures of performance (sales growth  $\beta 0.383$ ,  $p < 0.01$ ; market share  $\beta 0.183$ ,  $p < 0.07$ ) except in the case of overall performance where the impact was found to be not significant. Though theoretically different from each other autonomy and

|                    | Sales growth<br>( $R^2$ 0.579) | Market share<br>( $R^2$ 0.599) | Overall performance<br>( $R^2$ 0.647) |
|--------------------|--------------------------------|--------------------------------|---------------------------------------|
| Autonomy           | 0.341*                         | 0.220 (0.052)                  | 0.374*                                |
| Decentralization   | 0.383*                         | 0.183 (0.078)                  | ns                                    |
| Market orientation | ns                             | 0.465*                         | 0.415*                                |
| Formalization      | ns                             | ns                             | ns                                    |

**Note:** \* $p < 0.01$

**Table VIII.**  
Impact of independent  
variables on branch  
performance

decentralization were proposed to have similar practical implications in the context of boundary spanning units. Findings of the current study support this proposed similarity hypothesized in *H4*. It might therefore be understood that the two variables of autonomy and decentralization which are different in conceptual content coincide and show similar impact on market orientation as well as performance.

The argument that a higher market orientation impacts superior performance was proved to be relevant in the case of market share ( $\beta$  0.465,  $p < 0.01$ ) and overall performance ( $\beta$  0.415,  $p < 0.01$ ). Thus on two separate measures of performance market orientation positively impacts performance as proposed in hypothesis *H6*. However, the impact of market orientation on another measure of performance namely, sales growth was not found to be significant. One might hold that while market share and overall performance reflect historical performance sales growth – in a cross sectional study – reflects only current performance. The impact of market orientation on performance therefore could be viewed as occurring over a period of time rather than real-time. The not significant impact of formalization on performance may be interpreted as follows. Mere existence of rules does not ensure a superior performance. The specific nature and implementation of rules may be of importance in impacting performance.

6.3 Mediation effect

The standard procedure for assessing mediation effects in organizational research is Baron and Kenny's (1986) procedure, and because of its acceptance among research community that treatment is adopted here. The procedure requires the estimation of two regression equations. In the first equation, the outcome variable (in this case organizational performance) is regressed on the initial variable (organizational autonomy). In the second equation, the outcome variable is regressed simultaneously on the initial variable and the mediator (market orientation). The mediation effect is defined as the reduction in the effect of the initial variable on the outcome when the mediator is included in the regression (i.e. the coefficient of the initial variable in the first regression equation minus the coefficient of the initial variable in the second regression equation). Table IX contains results of the mediation test.

In the first equation, when the outcome variable performance was regressed on organizational autonomy the result showed significantly positive impact of autonomy on all the three measures of organizational performance (sales growth  $\beta$  0.524,  $p < 0.001$ ; market share  $\beta$  0.540,  $p < 0.001$ ; overall performance  $\beta$  0.554,  $p < 0.001$ ). However, in the second equation when performance is regressed simultaneously on autonomy and market orientation the impact of autonomy on performance was found reduced in all the three regressions (sales growth  $\beta$  0.376,  $p < 0.001$ ; market share

|                    | Sales growth<br>( $R^2$ 0.520)    | Market share<br>( $R^2$ 0.544) | Overall performance<br>( $R^2$ 0.564) |
|--------------------|-----------------------------------|--------------------------------|---------------------------------------|
| Autonomy           | 0.524**                           | 0.540**                        | 0.554**                               |
|                    | Sales growth<br>( $R^2$ 0.531)    | Market share<br>( $R^2$ 0.655) | Overall performance<br>( $R^2$ 0.639) |
| Autonomy           | 0.376**                           | 0.233**                        | 0.316**                               |
| Market orientation | Ns ( $\beta$ 0.193, $p = 0.063$ ) | 0.328**                        | 0.437*                                |

Notes: \*\*  $p < 0.001$ , \*  $p < 0.01$

Table IX.  
Mediating role of  
market orientation in  
autonomy's impact on  
performance

$\beta$  0.233,  $p < 0.001$ ; overall performance  $\beta$  0.316,  $p < 0.001$ ) revealing that the influence of autonomy on performance is partially mediated through market orientation.

## 7. Summary of findings

As hypothesized, higher autonomy showed positive impact on market orientation and its dimensions of intelligence generation, intelligence dissemination, and responsiveness. Among the components of autonomy, personnel autonomy showed a significant positive impact on overall market orientation and specifically on market oriented response. Its impact on intelligence generation is positive but of lower significance. However, personnel autonomy has no significant impact on intelligence dissemination. On the other hand, intelligence dissemination is positively influenced by goal setting autonomy. Goal setting autonomy has a positive but lesser significant impact on overall market orientation. The impact of goal setting autonomy on intelligence generation and response was not found to be significant. Marketing autonomy has significant influence neither on overall market orientation nor on any of its components.

Decentralization also had significant positive impact on overall market orientation. While the impact was positive and significant on Intelligence Dissemination and response it was not so with intelligence generation. On impacting market orientation decentralization and overall autonomy displayed similarities. Both had positive impact on overall market orientation. Organizational autonomy was also consistent in positively impacting the three dimensions of market orientation. Decentralization also displayed similar impact except in the case of intelligence generation. Similarly, organizational autonomy and decentralization displayed positive impact on two of the three organizational performance measures namely sales growth and market share. These results give support for Brock's (2003) postulation that decentralization and operational autonomy are conceptually different but similar in consequences that researchers tested in hypothesis *H4*.

As hypothesized, formalization's impact on market orientation was found to be significantly negative. Similar impact was found in the case of formalization's impact on intelligence generation and response. Whether or not a front end service unit is formalized its performance remains unaffected. However, in the case of intelligence dissemination formalization did not have any significant impact.

In agreement with earlier research findings the impact of market orientation on performance was found to be significantly positive. The higher correlation between market orientation and two of the performance measures reveal that when measured at the boundary spanning unit level impact of market orientation is high even in services industry. Autonomy was found to have significant positive impact on organizational performance. Autonomy and decentralization displayed significant similarities in influencing sales growth as well as market share. Autonomy positively impacted organizational performance both directly as well by enhancing a superior market orientation that in turn impacted performance. Superior decision-making freedom at service delivery levels result in better sales growth, market share, and overall performance. Autonomy's impact on performance is also mediated through market orientation. This implies that when greater autonomy is retained by a service delivery unit its market orientation improves and in turn its performance also improves.

## 8. Managerial implications

As the study reveals autonomy of lower level units has significant positive impact on their level of market orientation and performance. Managers in large service

organizations constituted of multiple service delivery units (for e.g. banks, organized retail, hotels, restaurants, libraries, training institutes and others) would find results of the study beneficial. Researchers suggest that decision makers in service organizations comprising of multiple service delivery units would benefit from delegating more decision-making powers particularly personnel decision-making powers to the branch level managers. Such autonomy enables greater generation and dissemination of information on customers and competitors as the boundary spanners in these organizations find that they are not hands-tied but could do something about things occurring around them. If the lower level units find that they cannot take any relevant decisions on issues they need to address on a daily basis they might loose interest in such issues over a period of time. This lack of interest in turn would reflect in lower market sensing and market relating abilities of the units. Very similar impact could be expected if the lower level managers have to just report market developments to their immediate authorities and have to wait for long for some action from higher ups to respond to the reported market developments.

The high impact of market orientation on performance suggests that managers should not neglect the role of market orientation in delivering superior results. They must bring in practices enhancing the market sensing and relating capabilities of their units. Regular gathering of market information from current, potential and lost customers so as to make decisions based on them enhances a market orientation. The marketing departments of these organizations could play a catalyst role in information gathering as well as in inter-functional coordination resulting in greater information dissemination and response. Such market oriented responses result in sales growth and superior market share.

While having formalized rules and procedures and their meticulous implementation could be important to an industry like banking their customers do not want to be party to such formalized procedures. Banks will have to take effort to contain formalities at back office level so that the customer doesn't feel the same at the front office. Since it is impossible to do away with procedures it shall be in the best interest of banks to also see that such formalized procedures are completed taking least of customers' time and resources.

## 9. Directions for future research

Current research is conducted in the retail banking context. To make more generalizable conclusions the same model could be tested drawing samples from a cross section of services industries. Besides, researchers' claim that impact of market orientation on performance is strong even in services sector – if sample is drawn from lower level units of operations shall be upheld only if such a cross section of industries is represented in the sample. Therefore, the study could be extended to other industries especially the ones undergoing major structural changes in emerging economies like insurance and organized retailing. Not-for-profits that are undergoing similar changes, like higher education in developing countries, can as well be considered for similar research. The present research relied on subjective data on organizational performance. The results of the study could be further validated using objective measures of organizational performance.

## 10. Limitations

As the data on autonomy, market orientation and organizational performance were gathered from the same group of respondents i.e. branch managers researchers admit the element of common method variance that needs to be accounted for. Practical difficulty in

gathering information on various branches from higher levels in all the banks prompted researchers to collect all data from the same source. All respondents were drawn from a single state in India and therefore seem to have a limited geographic scope. However, all these banks operated within the broad policies lay down by the Central Bank and had national operations resulting in the same banks competing in majority of states. Therefore, findings of this study can be considered viable for generalization across the nation.

## 11. Conclusion

Organizational subunits at boundary spanning level in services would perform better if they are more market oriented. Superior market orientation and performance of these units also coincide with higher subunit autonomy. Therefore, market orientation and superior performance at lower level units could be considered better possible if these service delivery units enjoy greater autonomy. Organizational autonomy and decentralization, though conceptually different, coincide and display similar impact on market orientation and performance at boundary spanning unit level.

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## Appendix. Questionnaires

Please rate the following keeping your branch in mind (1 – Totally disagree, 4 – Neither agree nor disagree, 7 – Totally agree)

### *Market orientation*

- (1) In our branch, we discuss with customers at least once a year to find out what products or services they will need in the future.
- (2) We collect customer expectations and give to product development department of our bank.
- (3) In our branch, we do some market research.
- (5) We poll customers at least once a year to assess the quality of our products and services.
- (6) We often talk with those who can influence our end users' purchases (e.g. sales agents, institutions).
- (7) We collect industry information by informal means (e.g. lunch with industry friends, talks with trade partners).
- (8) In our branch, we generate intelligence on our competitors.
- (10) We periodically review the likely effect of changes in our business environment on customers (e.g. RBI regulation).
- (11) A lot of informal talks in our branch concerns our competitors' tactics or strategies.
- (12) We have meetings with functional departments at least once a quarter to discuss market trends and developments.
- (13) Marketing personnel in our branch/region spend time discussing customers' future needs with other functional departments.
- (14) Our staff periodically gets documents that provide information on our customers (e.g. reports, newsletters, circulars).
- (15) When something important happens to a major customer, the whole branch knows about it within a short period.
- (16) Data on customer satisfaction are circulated in the whole branch on a regular basis.
- (17) There is opportunity for branch managers to share market insights with product development teams.
- (18) When one branch/department finds out something important about competitors, it is slow to alert other departments.<sup>®</sup>
- (20) Principles of market segmentation drive marketing and service efforts in our branch.
- (21) For one reason or another we tend to ignore changes in our customer's product or service needs.<sup>®</sup>
- (22) Our branch gives feedback on product development efforts to ensure that they are in line with what customers want.
- (23) Our business plans are not really driven by market research.<sup>®</sup>
- (24) Several departments in our branch/region get together periodically to plan a response to changes taking place in our business environment.
- (25) The products/services we sell depend more on internal politics than on real market needs.<sup>®</sup>
- (26) If a major competitor were to launch an intensive campaign targeted at our customers, we would implement a response immediately.

- (27) The activities of the different departments in our region are well coordinated.
- (29) Even if we came up with a great marketing plan, we probably would not be able to implement it in a timely fashion.<sup>®</sup>
- (31) When we find out that customers are unhappy with the quality of our service, we take corrective action immediately.
- (32) When we suggest that customers would like us to modify a product of service, the departments involved make efforts to do so.

<sup>®</sup>Reverse scored

*Decentralization*

(1. Totally disagree . . . . . 7. Totally agree)

- (1) In this firm decisions tend to be made at a high level.<sup>®</sup>
- (2) The individual decision maker has high latitude in the choice of means to accomplish goals.
- (3) Managers are allowed flexibility in getting work done.
- (4) A person who wants to make his own decision would quickly be discouraged.<sup>®</sup>
- (5) Even small matters are referred to someone higher in the marketing organization in the marketing organization for a decision.<sup>®</sup>
- (6) Many important decisions are made locally rather than centrally.
- (7) Middle and lower-level managers have substantial autonomy.
- (8) We have high latitude in setting relevant business goals and medium term goals of the department.

<sup>®</sup> Reverse scored

*Formalization scale*

(1. Totally disagree . . . . . 7. Totally agree)

- (1) Plans must be rigidly followed during implementation.
- (2) There is a "standard operating procedure" for almost all major decisions.
- (3) There are rules and procedures for most things.

*Organizational autonomy*

(1. No freedom at all . . . . . 7. Total freedom to decide)

- (1) To set monthly targets.
- (2) To decide on marketing territories.
- (3) To price services.
- (4) To decide on sales and marketing agents.
- (5) To decide on marketing budgets.
- (6) To decide on cost of customer acquisition.
- (7) To sanction loans.
- (8) To decide on resource acquisition procedures.
- (9) To decide on service quality standards.
- (10) To recruit staff.

- (11) To promote staff.
- (12) To create new jobs.
- (13) To dismiss a staff.
- (14) To remunerate staff.
- (15) To decide on training needs and methods for staff.
- (16) To allocate work among available personnel.
- (17) To advertise or on other means of promotion.
- (18) To introduce new services or products.

*Performance*

(1 – Very poor, 4 – Moderate, 7 – Excellent)

- (1) Please rate the sales growth of your branch in comparison to competitors in the territory.
- (2) Please rate the market share of your branch in comparison to competitors in the territory.
- (3) Please rate your overall performance in comparison to competitors in the territory.

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